Bharat Seats Ltd

Concall-Tracker report · NSE: BHARATSE · BSE: 523229 · Q2 FY27 (quarter to 30 Sep 2026) · prepared 11 Nov 2026 · no concall transcripts, global web deep-dive

1. Snapshot

What it does: a Relan family company (Gurgaon) that makes complete car seats, floor carpets, sound-proofing parts and rubber mouldings, mainly for Maruti Suzuki and Suzuki Motorcycle. It earns a thin assembly margin on each seat set, so profit follows how many Marutis roll out of the plants it supplies.

Figure	Value	Plain read
Market cap	₹1,339 cr (price ₹213)	What the whole company is worth. Off its ₹264 high, well above the ₹133 low.
Price to earnings	25.5x	Rich for a thin-margin parts maker that sells mostly to one customer.
Q2 FY27 sales	₹709 cr, up 55%	A record quarter. Growth this fast points to the new plant and more parts per car, not just more cars.
Q2 FY27 operating profit	₹32 cr, margin about 4.5%	About 4.5 paise per rupee. Down from about 4.9% a year ago: materials rose faster than sales.
Q2 FY27 net profit	₹15.2 cr, up 54%	Profit kept pace with sales even as the margin slipped, thanks to sheer volume.
FY26 (full year)	Sales ₹1,951 cr (up 51%), profit ₹42 cr (up 29%)	Profit grew much slower than sales, because the new plant added depreciation and margins thinned.
Debt	Borrowings about ₹122 cr; debt to equity 0.48 at March 2026 (0.78 a year earlier)	Debt came down after the Kharkhoda plant spend, but ticked up a little again by September.
Return on capital	ROCE 20%, ROE 20%	Good returns for a seat maker, because the plants run hard.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive. The company doesn't appear to hold earnings calls at all. Sources used: Q2 FY27 results coverage (Autocar Pro, Sahi, Univest, 27 Oct 2026); Q1 FY27 results coverage; FY26 results and board outcome (6 May 2026, Whalesbook); the FY26 annual report's directors' report and management discussion (via IndiaInfoline, Autocar Pro); Screener.in financials and shareholding.

Latest update highlights: Q2 FY27 results (27 Oct 2026)

- Sales ₹709 cr, up 55%; net profit ₹15.2 cr, up 54%. For the half year, sales ₹1,287 cr (up 45%) and profit ₹28.4 cr (up 49%).
- Raw material costs rose 62%, faster than sales, which is why the operating margin slipped to about 4.5%.
- Board approved up to ₹99 lakh for a 26% stake in a captive solar power company for its Haryana plants, due around Q1 FY28. Small, but it should trim power costs.
- No management commentary or guidance came with the results. No call was held.

Business mix & capacity
Domestic vs export: essentially all India, sold to Maruti Suzuki and Suzuki Motorcycle. Exports aren't broken out. Its test lab is approved by Suzuki Japan, so it can test parts for Maruti's export models in house.
Capacity: a new plant at Kharkhoda, next to Maruti's new car plant, started in May 2025 for about ₹70 cr. The board approved a further ₹86.6 cr in May 2026 for new model programmes. Utilisation isn't disclosed; coverage describes the plants as running near full.

3. Earning trigger thesis ★

The driver is Maruti's own expansion. Maruti opened a big new plant at Kharkhoda, and Bharat Seats built its own plant right next to it in May 2025. Sales jumped about half in FY26 and the June and September quarters kept that pace. It's also moving into pricier seats (ventilated, powered, heated) and wants its own designs for seat-belt reminders and latches instead of licensing them. That's a real driver already in the numbers. The catch is the margin. It's thin and slipping, and the company has no pricing power over Maruti. With no calls held, nobody outside can check what management expects.

Trigger	What the record says	Evidence so far	Horizon	Strength
Kharkhoda plant for Maruti's new plant	Started May 2025, ₹70 cr	Sales up 51% in FY26 and 55% in Q2 FY27	Now	Strong
New model programmes	₹86.6 cr capex approved May 2026	Not yet visible as separate sales	FY27-FY28	Moderate
Premium seats and own designs	Ventilated, powered and heated seats in production; own seat-belt reminder and latch designs planned (FY26 annual report)	No numbers given	FY28 on	Unproven
Thin margin (risk)	Margin about 4.5-5%	Slipping as materials rise	Ongoing	Caps the upside
One customer (risk)	Annual report names dependence on Maruti and Suzuki Motorcycle	Maruti volumes set the pace	Structural	Key risk

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Debt to equity fell from 0.78 to 0.48 in FY26, but no plan stated.
New business	No	Premium seats and own designs mentioned, no new customer or line counted yet.
Margin up	No	Margin slipped.
New management	No	Whole-time director Rishabh Relan reappointed (May 2026).
New capacity	Yes	New Kharkhoda plant began operations in May 2025; ₹86.6 cr approved for new programmes at its plants (board, 6 May 2026).
Big orders	No	No order book disclosed.
Turnaround	No	Already profitable.
Promoter buying	No	Promoters steady at 74.66%.

Single concrete driver: the new Kharkhoda seat plant supplying Maruti Suzuki's new Kharkhoda car plant, plus new model programmes from the approved spending.

3c. Margin bridge

Operating margin is about 4.5% against about 4.9% a year ago, and the FY26 net margin fell too. Raw materials rose faster than sales and the new plant added depreciation. There's no call to say whether it reverses, but a supplier to one big carmaker rarely wins back margin quickly (lasting).

4. Management consistency scorecard

Read this as limited. With no calls, there are almost no public promises to check. This grades what filings and numbers show.

Period	What was signalled	What happened	Verdict
FY25	Build Kharkhoda plant for Maruti	Opened May 2025	Delivered
FY26	Grow with Maruti's extra production	Sales up 51%, then 55% in Q2 FY27	Delivered
FY26	Keep a steady margin through lean operations (annual report)	Margin slipped	Missed
FY26	Bring debt down after the build	Debt to equity 0.78 to 0.48	Delivered
FY27-FY28	Own designs for seat-belt reminders and latches	Too early	Too early

Narrative drift: none visible. It's the same plain story every year: follow Maruti, add plants where Maruti adds plants. The issue is silence, not drift. No calls, no guidance and no capacity numbers mean you're trusting Maruti's volumes more than this management's words.

5. Bottom line

Durable earning trigger? → YES

The new plant is built, it's next to Maruti's newest plant, and sales are up about half for over a year. That's a driver in the numbers, not a hope. It's narrow, tied to one customer, and the margin is going the wrong way, so it's a volume story, not a quality one.

Management consistent? → MAYBE

What can be checked, they did: plant built, debt down, growth delivered. But they hold no calls and give no targets, so there's little to test, and the one stated aim, steady margins, slipped.

6. Checkpoints for next quarter

- Operating margin stops slipping below last year's level
- Sales keep growing faster than Maruti's own volumes
- Borrowings fall back after the September rise

Sources: Autocar Pro (27 Oct 2026; FY26 annual report coverage), Sahi, Univest, Whalesbook (6 May 2026), IndiaInfoline (FY26 MD&A), Screener.in. No concall transcripts exist. Not investment advice. Do your own due diligence.